

However, the Pedder Defendants are incorrect as to the arbitration costs. The HAA expressly states “that in most all [sic] circumstances [Pedder Auto Management] will pay all costs and arbitrator fees unique to the arbitration as required for controlling case law, such as for statutory claims for unpaid wages, discrimination, harassment, retaliation, etc.” (Dec.Jempsa Ex. “6”, ¶ 9, p. 80 [p. 27 of 28.]) The Pedder Defendants also assert that Smith waived the right to bring a class, collective, representative or PAGA claim *unless prohibited by controlling law*. (*Id.* ¶ 10.) Noting that the HAA is governed by the FAA, the Pedder Defendants persuasively argue that to the extent that the PAGA waiver is prohibited, the HAA provides for severance as opposed to voiding the entire HAA. (*Ibid.*; see *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639, 662 [finding that the employer was entitled to compel arbitration of former employee’s individual claim].) Any substantive unconscionability is exceedingly minimal as it is limited to the PAGA waiver, which could be severed *if it existed*.

Importantly, some procedural and substantive element is required for the court to find unconscionability. Since there are no procedural nor substantive elements, unconscionability cannot be established.

Accordingly, the motion to compel arbitration between Plaintiff, Smith, as an individual<sup>3</sup> and Defendant, Pedder Auto Management, is GRANTED.

**3.**

| CASE #      | CASE NAME                          | HEARING NAME                                                       |
|-------------|------------------------------------|--------------------------------------------------------------------|
| CVME2606867 | CAREY VS CALIFORNIA HIGHWAY PATROL | MOTION FOR PRESERVATION ORDER AND PRODUCTION OF RESPONSIVE RECORDS |

**Tentative Ruling:** DENIED ON BOTH SUBSTANTIVE AND PROCEDURAL GROUNDS.

Motion is unsupported by proper memorandum of points and authorities. Moreover, it is overbroad, ambiguous, uncertain and unclear as to the relief moving party seeks.

**4.**

| CASE #      | CASE NAME                                  | HEARING NAME                                                           |
|-------------|--------------------------------------------|------------------------------------------------------------------------|
| CVSW2309545 | CARTY VS ALLISON JAMES OF CALIFORNIA, INC. | MOTION FOR SUMMARY JUDGMENT OR IN THE ALTERNATIVE SUMMARY ADJUDICATION |

**Tentative Ruling:** GRANT the motion for summary judgment.

GRANT GOLV’s requests for judicial notice of Exhibits 1 and 21 through 24.

DECLINE to consider the separate statement filed with GOLV’s reply.

DECLINE to consider Plaintiffs’ and GOLV’s evidentiary objections in full, as they are not material to the disposition of this motion. (C.C.P. § 437c(q).)

---

<sup>3</sup> Plaintiffs take issue with the fact that Smith Consulting is not a party to any of the arbitration agreements. To the contrary, the Pedder Defendants persuasively argue this is irrelevant since Smith Consulting does not assert any claims against the Pedder Defendants.

This dispute arises from Plaintiffs Vanessa Carty (“Vanessa”) and Jeremy Carty’s (“Jeremy,” together, “Plaintiffs”) purchase of real property while represented by Defendant GOLV, Inc. dba Keller Williams Realty San Diego East Foothills (“GOLV”).

On June 11, 2022, Plaintiffs entered into a Residential Purchase Agreement (“Agreement”) with Zina Behnan and Johnny Behnan (“Sellers”) to purchase a residence located at 42140 Weeping Willow Lane, Murrieta, California (“Property”) for \$740,000.00. Plaintiffs were represented by GOLV and licensed real estate agent, Lauren Hilemon (“Agent Hilemon”) in the transaction, and Sellers were represented by Defendant Allison James of California, Inc. dba Allison James Estate’s & Homes (“Allison James”) and licensed real estate agent Shannon Munoz (“Agent Munoz”). The Agreement required Sellers to disclose known material facts and defects affecting the Property.

Plaintiffs contend that Allison James provided a false and misleading Transfer Disclosure Statement that represented there was no mold in the residence, no alterations or repairs made without necessary permits, and that any made were in compliance with building codes. However, Plaintiffs allege that Allison James knew that Sellers had remodeled the Property without the qualifications and expertise to do so competently but concealed this information from Plaintiffs. Plaintiffs further allege that Allison James made confidential remarks disclosing a defect in the kitchen ceiling related to the remodel of the above master bedroom but made no complete and meaningful disclosures regarding the remodel. Plaintiffs allege that Allison James also knew of, but failed to disclose, just-installed faulty window and door systems and multiple car impacts at the Property.

Escrow closed on July 7, 2022. Plaintiffs allege that in November 2022, after they moved in, water intrusion began in the residence kitchen and living room at a wall where there had been a car impact. During mitigation, Plaintiffs discovered extensive established toxic mold intrusion that was exacerbated with moisture intrusion and water leaks in multiple locations, prompting Plaintiffs to move out in March 2023.

On November 13, 2023, Plaintiffs filed a Complaint against Allison James and GOLV, asserting causes of action for: (1) negligence; (2) fraud; (3) intentional concealment; (4) negligent misrepresentation; (5) professional negligence; (6) breach of fiduciary duty (against GOLV only); and (7) breach of sellers’ real estate professional to conduct reasonable inspection (against Sellers’ Agent). Plaintiffs allege that as a real estate professional and buyers’ agent, GOLV had a duty to disclose to Plaintiffs all material information that it knew or reasonably could have obtained regarding the Property and Agreement.

GOLV now moves for summary judgment of the Complaint, or in the alternative, summary adjudication of the first through sixth causes of action against it. GOLV argues that it did not owe Plaintiffs a duty to inspect areas of the Property that were inaccessible or disclose unknown latent defects, and that there is no evidence that it made a false representation or concealed any material facts. Specifically, GOLV contends that Plaintiffs obtained a home inspection that identified possible water stains on the ceilings and organic growth around the kitchen sink. The home inspector recommended obtaining additional inspections, including a mold inspection, and Agent Hilemon advised Plaintiffs that further inspections were recommended. GOLV further alleges that Sellers disclosed a prior bathroom and roof leak at the Property in their disclosure report. However, GOLV

contends that Plaintiffs declined to conduct further inspections and removed all contingencies. GOLV further alleges that during the final walk-through, Sellers described the prior bathroom and roof leak, repairs that were made, and scope of remodel work performed before the parties closed escrow.

In opposition, Plaintiffs contend that triable issues of material fact exist as to GOLV's breach of its duty toward Plaintiffs. Specifically, Plaintiffs acknowledge that although Agent Hilemon discussed the inspection report and disclosures with Plaintiffs, they deny that she brought the home inspection report findings regarding possible water stains and organic growth to their attention and contend that she did not meaningfully investigate Sellers' remodeling or unpermitted work or advise Plaintiffs as to these issues. Plaintiffs further argue that even if GOLV did not have a statutory duty to inspect inaccessible areas, it still had a fiduciary or professional duty to advise them not to remove contingencies until water-intrusion and mold issues were further evaluated, recommend specialists for further inspections, request an extension of contingencies, or advise Plaintiffs of the risks of proceeding without further investigation. Lastly, Plaintiffs contend that the issues of the extent of GOLV's prior knowledge and Plaintiffs' reliance and causation are questions of fact for the jury to decide.

In reply, GOLV argues that Plaintiffs' characterization of a buyer's agent's duty extends far beyond that recognized by state law and is based on speculation and reiterates the arguments in their underlying motion.

GOLV requests that the Court take judicial notice of the Complaint (Request for Judicial Notice ["RJN"], Exh. 1), Requests for Admission, Set One, propounded to, and responded by, Jeremy (RJN, Exhs. 21 and 23), and Requests for Admission, Set One, propounded to, and responded by, Vanessa (RJN, Exhs. 22 and 24).

"The court will take judicial notice of records such as admissions, answers to interrogatories, affidavits, and the like... only where they contain statements of the plaintiff or his agent which are inconsistent with the allegations of the pleading before the court." (*Del E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal.App.3d 593, 604-605.) Here, Plaintiffs contend they do not recall reviewing the home inspection report with the inspector, despite their admission to the contrary in discovery responses. (Plaintiffs' Response to Separate Statement of Material Facts, ¶ 44.) Accordingly, the Court **GRANTS** GOLV's unopposed requests for judicial notice of Exhs. 1 and 21-24.

Plaintiffs object to statements in the declaration of GOLV's expert witness, Richard A. Snyder, for improper legal conclusion and improper expert opinion.

Defendants similarly object to statements in the declaration of Plaintiffs' expert witness, Alan D. Wallace, Esq., for improper legal conclusion and improper expert opinion.

The Court declines to consider the evidentiary objections in full, as they are not material to the disposition of this motion. (C.C.P. § 437c(q).) Specifically, as further discussed below, Plaintiffs fail to adequately raise a triable issue of material fact as to whether GOLV owed a fiduciary duty of care. Without duty, the Court need not consider the expert declarations to reach the issue as to whether GOLV breached such duty.

Along with its reply, GOLV filed a response to Plaintiffs' Statement of Additional Material Facts. However, a "reply shall not include any new evidentiary matter, additional material facts, or separate statement submitted with the reply and not presented in the moving papers or opposing papers." (C.C.P. § 437c(b)(4).) Accordingly, the Court declines to consider the argument set forth in the separate statement filed with GOLV's reply.

The elements of a negligence claim are: (1) legal duty owed to plaintiffs to use due care; (2) breach of duty; (3) causation; and (4) damage to plaintiff. (*County of Santa Clara v. Atlantic Richfield Co.* (2006) 137 Cal.App.4th 292, 318.)

Plaintiffs' causes of action for negligence, professional negligence, and breach of fiduciary duty are all premised upon GOLV's fiduciary duty as a real estate professional and broker. Generally, all people have a duty to use ordinary care to prevent others from being injured because of their conduct. (See Civil Code §1714(a).) "Whether a duty exists is a legal question, which is decided by the court, rather than the trier of fact." (*Rosencrans v. Dover Images, Ltd.* (2011) 196 Cal.App.4th 1072, 1082.)

Here, there is no dispute that as Plaintiffs' real estate brokers, GOLV owed Plaintiffs a fiduciary duty of care. (*William L. Lyon & Associates, Inc. v. Superior Court* (2012) 204 Cal.App.4th 1294, 1311; Separate Statement of Undisputed Facts [SSUMF], ¶ 2.) "Real estate brokers are subject to two sets of duties: those imposed by regulatory statutes, and those arising from the general law of agency." (*Carleton v. Tortosa* (1993) 14 Cal.App.4th 745, 756.)

Here, the parties dispute whether the scope of GOLV's fiduciary duties imposed an obligation to further investigate the existence of prior water intrusion and mold damage, encourage Plaintiffs to seek further inspections, or advise Plaintiffs as to the propriety of their decisions to forego additional inspections and remove contingencies.

Civil Code section 2079 provides, "It is the duty of a real estate broker or salesperson...to a prospective buyer of residential real property...to conduct a reasonably competent and diligent visual inspection of the property offered for sale and to disclose to that prospective buyer all facts materially affecting the value or desirability of the property that an investigation would reveal, if that broker has a written contract with the seller to find or obtain a buyer or is a broker who acts in cooperation with that broker to find and obtain a buyer." (Civ. Code § 2079(a).) Civil Code section 2079.3 defines the scope of the visual inspection, which "does not include or involve an inspection of areas that are reasonably and normally inaccessible to this type of an inspection, nor an affirmative inspection of areas off the site of the subject property or public records or permits concerning the title or use of the property..." (Civ. Code § 2079.3.)

GOLV contends that its statutory duty is restricted to performing a reasonable visual inspection, which it fulfilled. Indeed, "[s]ection 2079 statutorily limits the duty of inspection...to one requiring only a *visual* inspection." (*Field v. Century 21 Klowden-Forness Realty* (1998) 63 Cal.App.4th 18, 24 [original emphasis].) Plaintiffs do not allege that Agent Hilemon should have conducted an inspection in the inaccessible areas of the Property, i.e., behind the walls. Accordingly, Plaintiffs fail to raise a triable issue of fact as to whether GOLV breached a statutory duty of care.

However, a broker's fiduciary duty extends beyond the statutory duty delineated in sections 2079, et seq. Specifically, "the fiduciary duty of a broker, who contracts to exclusively represent a purchaser of real property to investigate for its client, is independent of the separate obligation imposed on a seller's broker to conduct a reasonable visual inspection of the marketed property for a buyer's protection...." (*Field, supra*, 63 Cal.App.4th at 21.) Accordingly, "depending on the circumstances, a broker's fiduciary duty may be much broader than the duty to visually inspect and may include a duty to inspect public records or permits concerning title or use of the property, a duty which is expressly excluded from section 2079." (*Id.* at 26.)

As *Field* explains, "the broker as a fiduciary has a duty to learn the material facts that may affect the principal's decision. He is hired for his professional knowledge and skill; he is expected to perform the necessary research and investigation to know those important matters that will affect the principal's decision, and he has a duty to counsel and advise the principal regarding the propriety and ramifications of the decision. The agent's duty to disclose material information to the principal includes the duty to disclose reasonably obtainable material information. [¶] ... [¶] The facts that a broker must learn, and the advice and counsel required of the broker, depend on the facts of each transaction, the knowledge and the experience of the principal, the questions asked by the principal, and the nature of the property and the terms of sale. The broker must place himself in the position of the principal and ask himself the type of information required for the principal to make a well-informed decision. This obligation requires investigation of facts not known to the agent and disclosure of all material facts that might reasonably be discovered." (*Field, supra*, 63 Cal.App.4th at 25, citing *Miller & Starr, Real Estate Law 2d Agency*, § 3.17, pp. 94, 96-97, 99; see also *Roberts v. Lomanto* (2003) 112 Cal.App.4th 1553, 1567 ["a real estate agent's fiduciary duty of disclosure extends to all material facts—that is, all facts that might affect the principal's willingness to enter into or complete a transaction."].)

However, agency is a contractual relationship; thus, "[t]he existence and extent of the duties of the agent to the principal are determined by the terms of the agreement between the parties, interpreted in light of the circumstances under which it is made, except to the extent that fraud, duress, illegality, or the incapacity of one or both of the parties to the agreement modifies it or deprives it of legal effect." (*Carleton*, 14 Cal.App.4th at 755 [citations and internal quotation marks omitted]; see also *Padgett v. Phariss* (1997) 54 Cal.App.4th 1270, 1279-80.) An agency agreement can, accordingly, "define, modify, and limit the terms of the agency and the agent's fiduciary duties." (2 *Miller & Starr, Cal. Real Estate* (4th ed. 2026), § 3:34.) "Such a limitation is not a disclaimer but merely a contractual limitation on the agent's duties." (*Ibid.*) The principle is codified in Civ. Code § 2079.23, which permits parties to define fiduciary duties by contract.

Here, the parties do not dispute that Plaintiffs executed the Statewide Buyer and Seller Advisory ("SBSA") on June 21, 2022, which states in pertinent part:

**5. INSPECTIONS:** ...A general physical inspection typically will not test for mold... If Buyer wants further information on any aspect of the Property, Broker recommends that Buyer have a discussion with the professional property inspector and that Buyer hire an appropriate professional for the area of concern to Buyer. Brokers do not verify the results of any such inspection or guarantee the performance of any such inspector or service. Any election by Buyer to waive the

right to a physical inspection of the Property or to rely on somebody other than an appropriate professional is against the advice of Brokers. Not all inspectors are licensed, and licenses are not available for all types of inspection activities. Brokers do not have expertise in this area.

**6. MOLD:** Mold is often undetectable from a visual inspection, a professional general property inspection and even a structural pest control inspection. Brokers do not have expertise in this area. If Buyer wants further information, Broker recommends that Buyer have the Property tested for Mold by an environmental hygienist or other appropriate professional during Buyer's inspection contingency period. Not all inspectors are licensed, and licenses are not available for all types of inspection activities. Brokers do not have expertise in this area.

(GOLV's Exhibit 18, ¶ 5 and 6; SSUMF, ¶ 12-13.)

It is also undisputed that Plaintiffs executed Agent Hilemon's "Agent Visual Inspection Disclosure ("AVID"), which states in pertinent part:

**Environmental Hazards:** Agent will not determine if the Property has mold, asbestos, lead or lead-based paint, radon, formaldehyde or any other hazardous substance or analyze soil or geologic condition.

**Analysis of Agent Disclosures:** For any items disclosed as a result of Agent's visual inspection, or by others, Agent will not provide an analysis of or determine the cause or source of the disclosed matter, nor determine the cost of any possible repair.

**What this means to you:** An Agent's inspection is not intended to take the place of any other type of inspection, nor is it a substitute for a full and complete disclosure by a seller. Regardless of what the Agent's inspection reveals, or what disclosures are made by sellers, California Law specifies that a buyer has a duty to exercise reasonable care to protect himself or herself. This duty encompasses facts which are known to or within the diligent attention and observation of the buyer. Therefore, in order to determine for themselves whether or not the Property meets their needs and intended uses, as well as the cost to remedy any disclosed or discovered defect, **BUYER SHOULD: (1) REVIEW ANY DISCLOSURES OBTAINED FROM SELLER; (2) OBTAIN ADVICE ABOUT, AND INSPECTIONS OF, THE PROPERTY FROM OTHER APPROPRIATE PROFESSIONALS; AND (3) REVIEW ANY FINDINGS OF THOSE PROFESSIONALS WITH THE PERSONS WHO PREPARED THEM. IF BUYER FAILS TO DO SO, BUYER IS ACTING AGAINST THE ADVICE OF BROKER.**

(GOLV's Exhibit 9, p. 1; SSUMF, 17 and 20-21.)

Accordingly, GOLV meets its initial burden on summary judgment/adjudication by presenting evidence demonstrating that the documents executed by the parties, taken together, disclaimed any duties GOLV had to provide any inspection or analysis into the cause, source, or presence of mold beyond a statutorily mandated visual inspection. Further, the documents advised Plaintiffs to review Sellers' disclosures, review the home

inspection report with the inspector, and obtain their own mold inspections, and that any failure to do so was against GOLV's advice.

Plaintiffs do not dispute that they executed the documents or argue that the terms do not apply to them. Rather, Plaintiffs merely contend that a "jury could find that boilerplate form language did not replace GOLV's fiduciary obligation to give clear, client-specific advice about the need for further specialist inspection." (Opp., p. 11.) However, a party who signs a contract is presumed to have read and understood it. (*Bolans v. Khalatian* (1991) 231 Cal.App.3d 1586, 1590 ["When a person with the capacity of reading and understanding an instrument signs it, he may not, in the absence of fraud, coercion or excusable neglect, avoid its terms on the ground he failed to read it before signing it."].) Similarly, one who assents to a contract is bound by its provisions and cannot complain of unfamiliarity with its language. (*Madden v. Kaiser Foundation Hospitals* (1976) 17 Cal.3d 699, 710.) In addition, "responsive evidence that gives rise to no more than mere speculation cannot be regarded as substantial and is insufficient to establish a triable issue of material fact." (*Sangster, supra*, 162-163.) Accordingly, Plaintiffs fail to present any substantial evidence to create a triable issue of material fact as to whether GOLV disclaimed its duties to make further investigation into the presence, cause, or source of mold at the Property beyond a visual inspection. As such, GOLV did not owe Plaintiffs a fiduciary duty to further investigate or determine the cause, source, or existence of water intrusion or mold at the Property beyond a visual inspection.

To the extent that GOLV had a fiduciary duty of care to advise Plaintiffs of the propriety of their actions (i.e., foregoing further inspections and removing contingencies), the evidence shows that GOLV did not breach such duty because it repeatedly advised Plaintiffs, in writing, to conduct their own inspections and review the findings with the applicable professionals. (GOLV's Exhibit 9, p. 1 and Exhibit 18, ¶ 5 and 6; SSUMF, ¶ 12-13, 17 and 20-21.) Plaintiffs fail to present any substantial evidence to the contrary, as neither could "recall" whether anyone "clearly" advised them to pursue further inspections due to the inspection report. (Jeremy Decl., ¶ 13; Vanessa Decl., ¶ 13-14.) Although Vanessa attested that if Agent Hilemon "had clearly told me that I needed to review the report with the inspector or another qualified professional before removing contingencies, I would have taken that seriously and acted differently" (Vanessa Decl., ¶ 15), Vanessa testified that she was present during the home inspection and asked the inspector if he had any major concerns after he was finished with the inspection, which the inspector denied. (GOLV's Exh. 2, Vanessa Depo., 37:1-13.) Jeremy also testified that Vanessa had a telephone conversation with the inspector after he issued the report (GOLV's Exh. 3, Jeremy Depo., 368:21-369:8). As such, Plaintiffs fail to create a triable issue of material fact as to whether GOLV advised them to conduct further inspections and consult with professionals before removing contingencies.

The elements of fraud are: (1) misrepresentation of a material fact (consisting of a false representation, concealment or non-disclosure); (2) knowledge of the falsity (i.e., scienter); (3) intent to deceive and induce reliance; (4) justifiable and actual reliance on the misrepresentation; and (5) resulting damage. (*City of Atascadero v. Merrill Lynch, Pierce, Fenner & Smith, Inc.* (1998) 68 Cal.App.4th 445.)

Concealment requires: "(1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff,

(3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage.” (*Marketing West, Inc. v. Sanyo Fisher (USA) Corp.* (1992) 6 Cal.App.4th 603, 612-613.) As concealment is a species of fraud, it must also be pled with specificity. (*Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC* (2008) 162 Cal.App.4th 858, 878.)

The elements of a negligent misrepresentation cause of action are: (1) a representation as to past or existing material facts; (2) falsity of the representation; (3) defendant lacks reasonable grounds to believe the truth of the representation; (4) intent to induce reliance; (5) justifiable reliance by plaintiff; and (6) injury. (*B.L.M v. Sabo & Deitsch* (1997) 55 Cal.App.4th 823, 834.) Negligent misrepresentation is a form of deceit. (*Bily v. Arthur Young & Co.* (1992) 3 Cal.4th 370, 407.)

Fraud actions are subject to strict requirements of particularity in pleading. (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal. 3d 197, 216.) A plaintiff must allege what was said, by whom, in what manner (i.e. oral or in writing), when, and, in the case of a corporate defendant, under what authority to bind the corporation. (See *Goldrich v. Natural Y Surgical Specialties, Inc.* (1994) 25 Cal.App.4th 772, 782.)

Plaintiffs argue that GOLV’s “half-truths, suppression of material facts, or statements that become misleading in context,” specifically its omission of material information, minimization of material risks, failure to disclose the significance of known warning signs, and failure to adequately verify Sellers’ disclosures, constitute misrepresentations that negligently conveyed the impression that Plaintiffs could safely proceed with the purchase of the Property without further investigation. (Opp., p. 19.) However, Plaintiffs only generally allege that GOLV failed to “gather necessary information” regarding the Property and to provide clear advice (Opp., p. 18)

Here, Plaintiffs fail to produce any evidence to show that GOLV had knowledge of the mold and water intrusion in the Property beyond that reflected in Sellers’ disclosures or home inspection report, which was made equally available to Plaintiffs, to give rise to a duty to disclose. In addition, Plaintiffs fail to allege the existence of any false representation made by GOLV or Agent Hilemon with sufficient particularity to sustain a cause of action for fraud or negligent misrepresentation. Because Plaintiffs fail to establish that a misrepresentation or prior knowledge of material fact exists, Plaintiffs’ allegations of reliance and causation are unsupported.

Given the above, the Court GRANTS the motions for summary adjudication as the second through fourth causes of action for fraud, intentional concealment, and negligent misrepresentation.

GRANT GOLV’s requests for judicial notice of Exhibits 1 and 21 through 24.

Decline to consider the separate statement filed with GOLV’s reply. Decline to consider Plaintiffs’ and GOLV’s evidentiary objections in full, as they are not material to the disposition of this motion. (C.C.P. § 437c(q).)



**GRANT** the motion for summary judgment.

5.

| CASE #      | CASE NAME                         | HEARING NAME                                                             |
|-------------|-----------------------------------|--------------------------------------------------------------------------|
| CVSW2403633 | GU VS VAL-CHRIS INVESTMENTS, INC. | MOTION ON WHETHER THE MATTER SHOULD PROCEED BY PROVE-UP HEARING OR TRIAL |

**Tentative Ruling:** GRANTED

No default has occurred. Nor are there grounds to strike defendant's answer.

At a trial setting conference on May 30, 2025, the court set a trial date of May 15, 2026, and ordered the parties to appear at a mandatory settlement conference on April 16, 2026. Hou failed to appear at the April 16 MSC and Hou and his attorney were ordered to appear on May 15, 2026, and show cause why sanctions or dismissal should not be imposed for failure to appear at the MSC, citing C.R.C. 3.1380. Hou filed an ex parte application to continue the trial date on May 14, supporting by a declaration from his attorney stating that counsel had lost contact with Hou and describing various attempts by defendant's counsel to locate their client. The declaration also included the following:

Several months ago, we did receive an email from Defendant HOU stating that he was looking for another attorney to represent him in this case and that he did not want the Russell Law Group to do any further work on this matter. I was not involved at that time, but that may be the reason Ms. Duane did not conduct any discovery or render any other serv[ic]es after receiving that message. The Russell Law Group never heard from another attorney concerning substituting in for the Russell Law Group.

(Kent declaration, ¶16.) The initial minutes of the court for the May 15 hearing on the motion to continue trial set an OSC for why the court should not conduct a default prove-up for May 22, set the prove-up for May 22, and invited briefing. The initial minutes for the court trial on May 15 made similar orders. The initial minutes for the May 15 OSC (for failure to appear at the OSC) stated: "Order to Show Cause hearing is ordered discharged."

On May 20 the court issued two nunc pro tunc minute orders regarding the May 15 hearings, without identifying which of the three May 15-minute orders were being corrected. The amended orders changed the name of the OSC for May 22 from being a "Default Prove-Up" to a "Prove-Up". At the May 22 hearing the court set a further hearing on July 27 as to whether the matter should proceed "by Prove-Up Hearing or Trial". Briefing has been submitted by the parties, supplemental to an objection / motion that had initially been filed by Hou, through his attorneys, on May 18. Hou's briefing states that counsel has reestablished contact with their client and expects him to participate in trial.